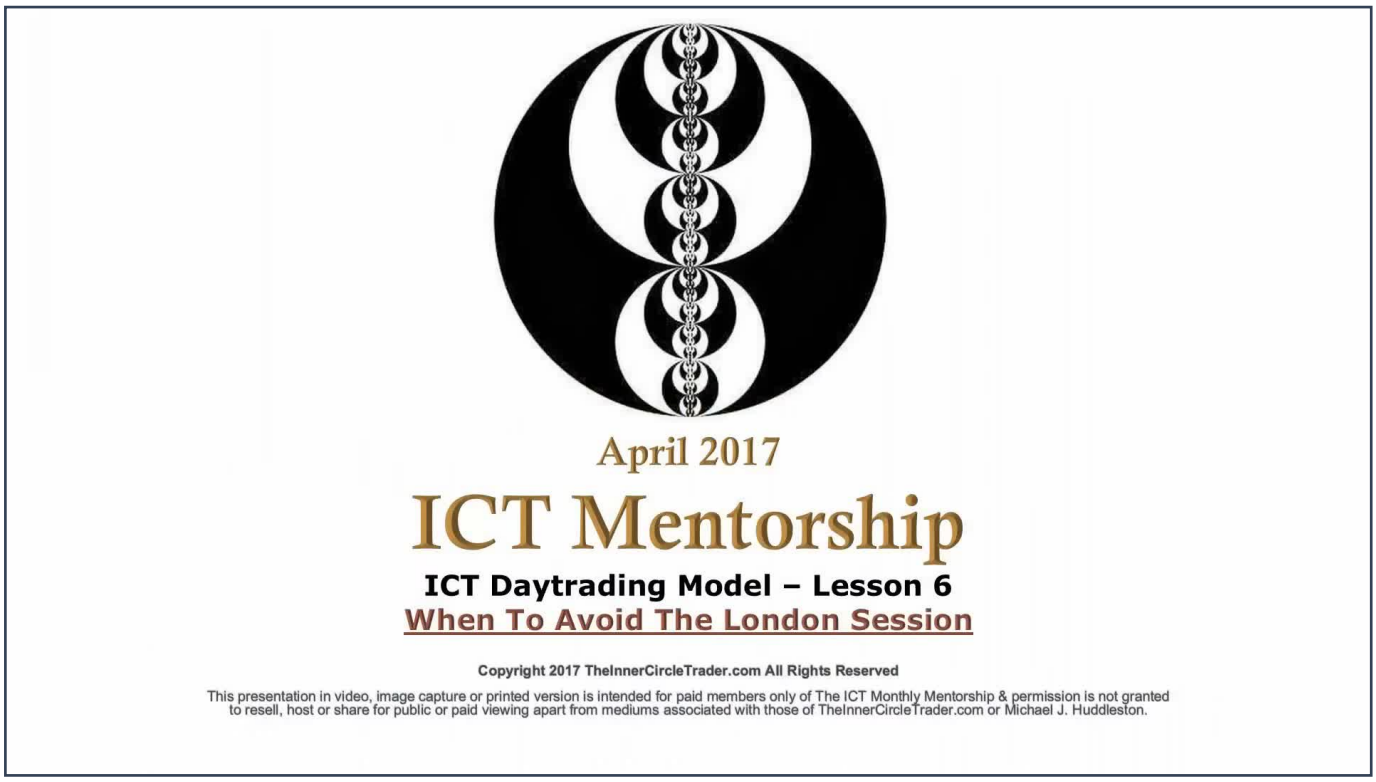
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 08 - WHEN TO AVOID THE LONDON SESSION

INTRODUCTION: WHEN TO AVOID THE LONDON SESSION

TIMESTAMP: 00:00:12



Welcome to Lesson Six of the April 2017 ICT Mentorship, focusing on the ICT Day Trading Model. This lesson specifically addresses 'When to Avoid the London Session'. The discussion will be entirely conceptual, without charts or examples, to ensure focus on the core characteristics and principles. It is crucial to understand these non-ambiguous, specific things that ICT looks for, particularly when considering day trades in the London session.

The London session is not ideal after a large range day. A large range day is defined as a day with a range greater than two times the average five-day range of a particular currency pair. If the previous trading day had such a large range, it is generally advisable not to trade the London session immediately the day after. This typically leads to a period of consolidation or choppy price action.

AVOIDANCE CONDITION 2: THREE CONSECUTIVE CLOSES

TIMESTAMP: 00:02:07

Avoid trading in the London session under the following conditions on a daily chart:

- After a series of three consecutive up closes, avoid trading longs. Typically, a retracement lower or a pause can occur, creating a down close or a long intraday wick, before potentially continuing the trend.

- After a series of three consecutive down closes, avoid trading shorts. Similar to the bullish scenario, the fourth trading day often sees a deep retracement or sideways movement, making London shorts not ideal.

These conditions (three consecutive up/down closes) are relative to a daily time frame and serve as filters. When this criteria is met, it generally indicates that a big range day is unlikely to occur on the fourth trading day. While it's not impossible, it is highly improbable.

AVOIDANCE CONDITION 3: FOMC EVENT WITH EXTREME WHIPSAW

TIMESTAMP: 00:03:36

Avoid trading the London session after an FOMC (Federal Open Market Committee) event that produces extreme whipsaw. This condition can sometimes overlap with the 'large range day' criterion. Regardless of the interest rate announcement specifics, the market's reaction, specifically an extreme whipsaw (up and down price action) around 2 PM New York time when FOMC usually occurs, will likely disrupt London trading. This type of action can 'screw up' the Central Bank Dealers Range and carry over into the Asian session, making London open trading unfavorable.

AVOIDANCE CONDITION 4: AHEAD OF NON-FARM PAYROLL

TIMESTAMP: 00:04:45

Do not trade the London session at all on the Friday when non-farm payroll numbers are expected, which typically occurs on the first Friday of every trading month. This is a complete avoidance day for London.

AVOIDANCE CONDITION 5: DAY BEFORE A LONG WEEKEND OR HOLIDAY

TIMESTAMP: 00:05:06

Avoid trading the London session on the same trading day that is heading into a long weekend or holiday. Market participation tends to decrease as many traders go on an 'early escape,' leading to lower liquidity and a quiet session. While there might be rare instances of large moves, probabilities dictate that it's not worth the risk due to the historically quiet nature of such days.

AVOIDANCE CONDITION 6: MULTIPLE HIGH TO MEDIUM IMPACT NEWS DRIVERS

TIMESTAMP: 00:05:59

If the economic calendar (e.g., Forex Factory) shows multiple high to medium impact news drivers scheduled for a particular currency during the London session, it can result in a 'tricky London session'. While not always the case, having several significant news events scheduled close together (e.g., 2 AM, 3 AM, 5 AM GMT) can make the London session problematic for clear trading. Ideally, one high or medium impact news event is preferred, as it often leads to a single stage of manipulation and then expansion into the New York session.

ABSENCE OF NEWS AND BLACK SWAN EVENTS

TIMESTAMP: 00:07:32

An absence of any news during the London session can be a 'wild card' day. It might be a straightforward technical day where profiles unfold as expected, or it could lead to unexpected, 'Black Swan' events. For example, a sudden political announcement like a snap election (as seen during the mentorship with the UK Prime Minister) can cause massive, unforecasted moves (e.g., a 400-pip move in Cable) despite no scheduled news, making the session unpredictable.

CHARACTERISTIC 1 FOR AVOIDANCE: CENTRAL BANK DEALERS RANGE > 50 PIPS

TIMESTAMP
00:08:33

A primary characteristic indicating London session avoidance is if the Central Bank Dealers Range (CBDR) is greater than 50 Pips. While not a guaranteed 'set in stone' rule, it's a strong indicator to consider passing on the London session, especially if other commitments demand rest. If no other plans, still observe the Asian range for further decision factors.

CHARACTERISTIC 2 FOR AVOIDANCE: ASIAN RANGE > 40 PIPS OR SUSTAINED RALLY/ DECLINE FROM 8 PM NY

TIME START
00:09:28

Further characteristics for London session avoidance:

- If the Asian range is greater than 40 Pips, consider a delayed protraction profile, but only if all its specific criteria are met. Otherwise, move to the sidelines and avoid London trading.

- If the market starts a sustained rally or decline from 8 PM New York time (0 GMT), it's a poor indication for London. This suggests the primary move has already begun, with little retracement expected in London; retracements are more likely in New York.

CHARACTERISTIC 3 FOR AVOIDANCE: CENTRAL BANK DEALERS RANGE AND/OR ASIAN RANGE NOT CONSOLIDATING

TIMESTAMP: 00:10:07

A critical characteristic for avoiding London is when the Central Bank Dealers Range (CBDR) and/or the Asian range is not visually consolidating. This means they are not in a small, tight consolidation range. If either range is wide, erratic, or trending, it makes the London session highly suspect and undesirable for trading. A clear, obvious, small, narrow consolidation range is essential for an ideal setup, allowing banks to build open float (orders above and below the intraday high/low formed between the Asian range open and close).

As day traders, we aim for days when banks hold the market in a small, tight consolidation to build 'open float,' accumulating orders above and below the intraday high/low formed by the Asian range. This narrow price range during the CBDR and Asian session indicates this accumulation. If the range is not clearly obvious as small and tight, it's likely to be an 'ugly' London session without a clear manipulation cycle or protractionary state. A market trending from 8 PM New York (0 GMT) will generally lead to 'London sloppiness,' as the move has likely already occurred and will continue, precluding an ideal London entry.

When the market conditions indicate 'London slop' based on the aforementioned points, the advice is simple: 'sleep in, trade New York.' These conditions signify a low-probability environment. We seek heavily slanted odds in our favor, which means not trading every day. Not every day will present the ideal profile. When these 'avoidance' characteristics are present, it strongly suggests sitting out the London session. If, through curiosity or second-guessing, one does trade under these conditions, it should be with 'very, very, very little risk,' as regret is likely.

THE INTRADAY TRADING MODEL: ACCUMULATION, MANIPULATION, DISTRIBUTION (AMD)

TIME STAMP: 00:14:16

Intraday trading revolves around accumulation, manipulation, and distribution (AMD). Banks use this short-term horizon to manipulate prices, knock out participants, and facilitate false sentiment. We look for indications of order accumulation within narrow Central Bank Dealers Range and Asian range consolidations. Combined with a daily directional bias from the daily chart (using PD Array Matrix) that indicates where price is likely to draw (premium or discount), we anticipate the manipulation phase. This phase pushes price lower (for longs) to induce selling or trigger premature stops, before distributing accumulated long positions near the high of the day in London close or late New York. This is the model we trade, and clear 'fingerprints' or 'hallmark trademark characteristics' are essential for ideal London entries.

If the specific criteria for ideal London entries (from Lesson 5) are not present, or if the avoidance conditions outlined in this lesson (Lesson 6) are present, then high-probability trading conditions do not exist. Trading bullish order blocks or turtle soups under these unfavorable conditions, and subsequently losing money, is a direct result of not having ICT Price Action (IPTA) in your favor. Ignoring these conditions significantly increases the odds of losing money. Adhering to these points will prevent trading in many unfavorable situations, leading to fewer 'screw-ups' and more disciplined trading.

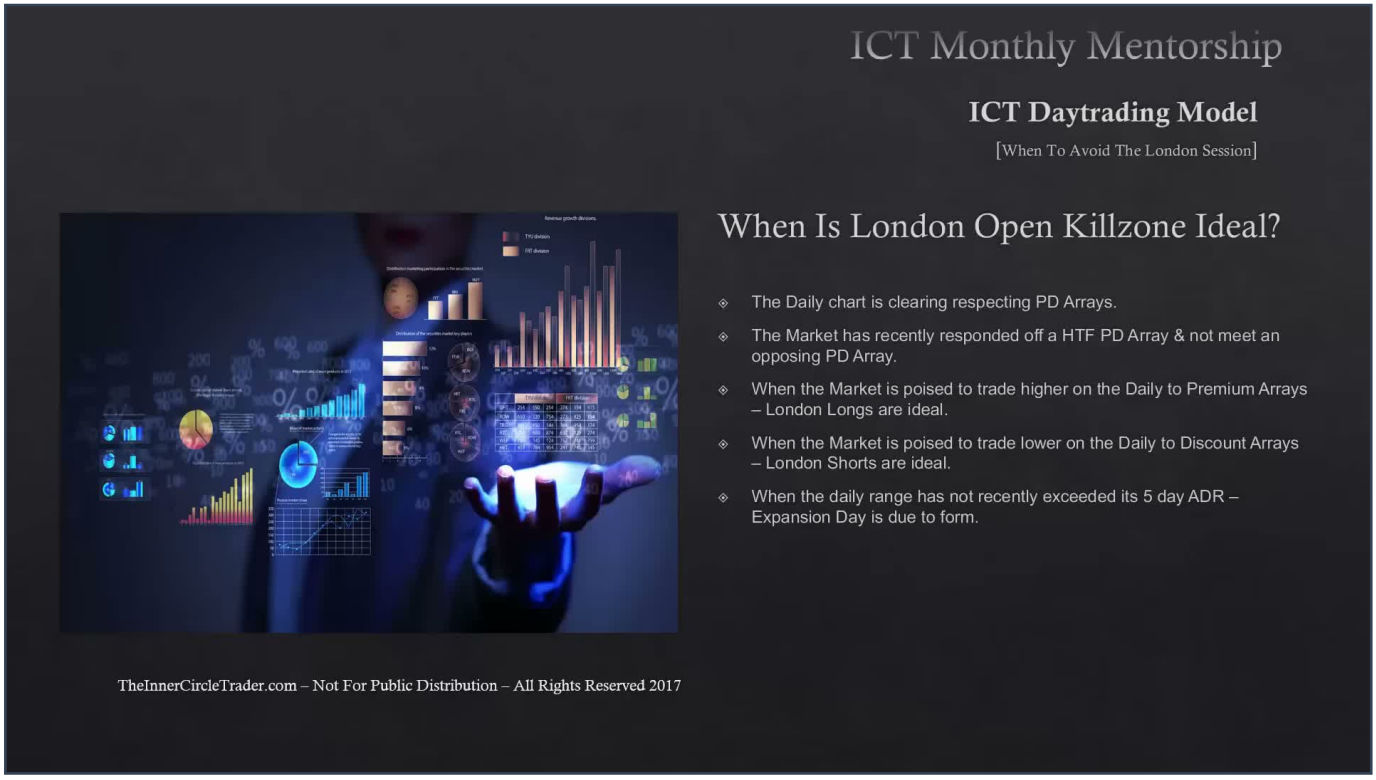
During these messy market conditions, it's often unknown what the Central Banks are doing. If ICT doesn't have a clear belief or understanding of their actions, it's not a time to risk capital. High-probability trading relies on knowing what banks are 'most likely doing' through clear signals:

- Narrow consolidation ranges during the Central Bank Dealers Range and Asian range.

- A discernible daily bias, knowing whether price is expected to move to a premium or discount.

- The ability to identify the standard normal protraction profile or delayed profile in the direction of the daily bias. If these conditions are not present (i.e., the avoidance conditions are present), then daily bias and other factors become secondary, as we are dealing specifically with intraday action.

Rule-based ideas are essential filters. You do not trade every single trading day. These conditions are designed to prevent you from taking positions in London. Acceptance and subordination to these rules are crucial to avoid overtrading. While you might occasionally catch a 'lucky' move under unfavorable conditions, ignoring the rules is detrimental in the long run. The goal is to accumulate 'singles, singles, doubles, three-to-one wins,' and then capitalize on 'really big huge runners' that significantly boost monthly equity. Trading every day leads to choppy equity growth, where small wins are erased by frequent small losses. By filtering out low-probability periods, you significantly slant the odds in your favor, minimizing larger losses and fostering smoother equity growth.



As you apply these lessons to live sessions, exercises, and drills, you'll develop a specific criteria and list of rules to eliminate certain trading days. This provides clarity, so when a day is avoided, you understand why, rather than scratching your head. These rules are consistent and simple to understand; observing price action over several months will clearly illustrate when a clean London session is unlikely. The goal is to trade when the market exhibits a clear squeeze on volatility, holding in consolidation, and allowing orders to stack up, aligning with a clear daily directional bias. This approach, which ICT himself uses, empowers traders by providing context and ensuring trades are taken when the odds are most in their favor, regardless of trading style (position, swing, day, scalper). The rules for staying out of the market are often more valuable than rules for getting in.